

Moving India's subsidy and benefits system to Direct Benefit Transfer:

The Indian government disburses subsidies and benefits worth 4 per cent of the GDP, or Rs 6 lakh crore (US\$ 100bn). In the past, at least half of this amount was stolen or pilfered by politicians and civil servants who would use this money—which had now become black since it was stolen money—to invest in land, real estate and jewellery. Within three months of being elected Prime Minister in May 2014, Narendra Modi promised to move India's subsidy and benefits system to Direct Benefit Transfer, i.e. the direct transfer of 4 per cent of the GDP from the government's bank accounts to the recipients' bank accounts. He then took steps to implement this policy announcement and thus significantly reduced the amount of stolen (black) money in the hands of civil servants and politicians.

Demonetization: On 8 November 2016, the government demonetized 86 per cent of the country's total currency in circulation. This resulted in the forced deposit of over Rs 15 lakh crore (US\$ 230bn or 10 per cent of the GDP) into the banking system, of which a sizeable proportion is likely to have been black money.

The Real Estate Regulatory Act (RERA): This Act came into effect on 1 May 2017. Over the last two decades, gullible real estate customers have fallen victim to builders who haven't felt the need to ensure transparency, accountability and sound business practices. Their modus operandi was booking profits on the back of substandard construction materials, acquiring and building on plots which do not have clear title and/or development permissions and ignoring local development rules. These builders were also the ones who accepted unaccounted cash, thereby cheating the government of stamp duty and registration revenues. RERA imposes a range of rules and obligations on the builders, aimed at increasing transparency and accountability, which will make it harder for the builder to either short-change the buyer or to use black money. For example, developers have to put 70 per cent of the funds collected from buyers in a separate account to meet the construction cost of the project rather than the erstwhile practice of diverting these funds for other purposes such as land acquisition.